

ECON 1740 — The American Economy

Markets, Institutions, and Modern Prosperity

University of Utah · David Eccles School of Business Proposed redesign — draft syllabus for discussion Instructor: Adam Looney · adam.looney@eccles.utah.edu Format: in-person lecture, Tuesday/Thursday, 75 minutes · 3 credits · no prerequisites Satisfies the General Education **American Institutions (AI)** requirement

Course description

For most of human history, ordinary people were poor, sick, and short-lived. Then, in a handful of places — and in the United States above all — income, health, and opportunity exploded. This course explains how that happened and whether it can last.

We study the American economy the way modern economists do: **every class is built around one killer chart, one economic idea, and one American institution.** The charts are the facts that demand explanation — GDP per capita since 1500, the price of enslaved people before the Civil War, women's labor-force participation, the fading American Dream, the national debt through 2055, the AI investment surge. The ideas are the tools economists use to explain them — compounding, property rights, human capital, comparative advantage, externalities, moral hazard. The institutions are the distinctly American rules of the game — the Constitution's economic clauses, the patent system, the 13th Amendment, public schools, immigration law, the Sherman Act, Social Security, the Federal Reserve — that turned growth into broad prosperity.

The course tells one continuous story in four acts: how growth emerged (**The Growth Miracle**), how America built a continental economy (**Building the Growth Machine**), who got access to it (**Mobilizing People and Expanding Opportunity**), and how America governs capitalism's side effects (**Governing Capitalism's Consequences**). Along the way, students learn the skill that separates economics from punditry: reading evidence critically — *What is the comparison? What is the counterfactual? Why might this chart mislead us?*

This course is aimed at students who are not (yet) economics majors. No math beyond arithmetic, no prerequisites — just charts, ideas, and arguments about the country you live in.

Course thesis

America's economic system is a **growth machine built from institutions.** It protects rights, rewards investment, connects markets, attracts people, generates ideas, scales firms, and corrects failures. Its history is both a story of

extraordinary prosperity and a story of conflict over who participates, who gains, who loses, and who governs the system.

American Institutions requirement and learning outcomes

ECON 1740 satisfies the USHE General Education American Institutions requirement, which calls for an understanding of **the history, principles, form of government, and economic system of the United States** (Utah Code 53B-16-103). This course covers all three prongs from an economic lens: American history is the evidence base of every class; the Constitution, its amendments, and the statutes that structure economic life (the Patent Clause, the Commerce Clause, the Reconstruction Amendments, the Sherman Act, the Social Security Act, the Federal Reserve Act) are studied as economic documents; and the American system of free enterprise is the course's central subject.

By the end of the course, students will be able to:

1. **Explain the American growth miracle** — describe how the U.S. economy went from near-subsistence to the richest large economy in history, and identify the roles of capital, labor, ideas, and institutions.
2. **Read economic evidence critically** — interpret charts and data, distinguish correlation from causation, and identify the comparison and counterfactual behind an empirical claim.
3. **Analyze American institutions economically** — explain how the Constitution, property rights, courts, schools, immigration law, labor law, antitrust, social insurance, and the Federal Reserve shape economic behavior and outcomes.
4. **Apply core economic concepts** — use ideas like opportunity cost, compounding, human capital, market power, externalities, and social insurance to evaluate historical and current policy questions.
5. **Argue both sides** — articulate the strongest economic case for and against a contested policy (tariffs, minimum wages, immigration, antitrust, debt) using evidence rather than slogans.
6. **Write persuasively with evidence** — produce short policy memos that marshal charts and economic reasoning to support a position.

These outcomes are assessed through weekly chart-interpretation quizzes (sources and evidence), short primary-source readings (Magna Carta, Locke, the First Amendment, the 13th Amendment, the Sherman Act, the Social Security Act), structured in-class debates (diverse viewpoints), and writing assignments that apply economic methods to American institutional questions.

How the course works

- **One chart, one idea, one institution per class.** Every lecture is anchored in a compelling chart, a clear economic concept, and a concrete American institution.

- **Four acts, one argument.** The 25 classes build a single narrative; each class ends with a hand-off to the next.
- **History paired with the present.** Every historical episode is paired with a live modern question: railroads and broadband, the 1924 quotas and the 2021 immigration surge, Standard Oil and Big Tech, the Panic of 1907 and the 2023 bank failures.
- **Measurement and causality throughout.** Each empirical class includes one slide asking whether the chart could mislead us — the habit of mind that defines modern economics.
- **Hands-on every few weeks.** An invest-or-hide game (Class 4), a comparative-advantage trading game (Class 19), a classroom bank run (Class 23), and two team debates — economics you do, not just watch.
- **The opportunity ladder.** Part III builds a recurring visual, one rung per class — own your labor, bargain, learn, arrive, choose, belong, move, rise — completed at the Class 18 capstone.
- **Guest lectures.** Selected classes are well-suited to guest lecturers whose research connects to particular topics.

Materials

There is no required textbook. All readings are short, free, and posted to Canvas: chapters and articles by the economists whose charts we study (Goldin, Chetty, Autor, Acemoglu, and others), primary sources (Magna Carta excerpts, Locke, the Constitution’s economic clauses, Hamilton’s *Report on Public Credit*), and accessible pieces from the *Journal of Economic Perspectives*, Our World in Data, and the Congressional Budget Office. Expect 20–40 pages of reading per week.

Optional books for students who want more: Robert Gordon, *The Rise and Fall of American Growth*; Angus Deaton, *The Great Escape*; Ran Abramitzky and Leah Boustan, *Streets of Gold*.

Assessment (proposed)

Component	Weight	What it is
Chart of the Week quizzes	20%	Weekly online quiz interpreting one chart from that week’s classes — what it shows, what it misses, what would change your mind. Lowest two dropped.
Policy memos (×2)	20%	800-word memos applying course tools to a modern question (e.g., “Should Utah preempt local zoning?”)

Component	Weight	What it is
Structured debates (×2)	10%	“Should the U.S. admit more high-skilled immigrants?”). Draft, feedback, revise. Team debates with assigned sides — minimum wage (Week 8) and Big Tech antitrust (Week 14). Graded on use of evidence, not on winning.
Midterm essay exam	20%	In-class essay covering Parts I–II and the first half of Part III (Classes 1–14).
Final essay exam	25%	Cumulative essay exam emphasizing Parts III–IV; asks students to connect the four acts into one argument.
Participation	5%	Exit cards, polls, and discussion.

Standard University grading scale. AI tools are permitted as a learning and writing aid on memos and take-home work, with disclosure; exams are in-class and handwritten or lockdown-browser.

Schedule (15 weeks, Tuesday/Thursday)

Part I — The Growth Miracle

What is growth, why does it matter, and why did it emerge first in the Anglo-American world?

Wk	Day	Class	Read before class
1	T	1. The American Economy in 25 Charts — course overview	Syllabus; browse Our World in Data, “Economic Growth”
1	Th	2. GDP, Living Standards, and Welfare — why growth matters	Deaton, <i>The Great Escape</i> (excerpt)
2	T	3. The Recipe for Growth — capital, labor, ideas,	Bloom et al., “Are Ideas Getting Harder to Find?” (intro)

Wk	Day	Class	Read before class
		institutions	
2	Th	4. Liberty and the Rules of the Game — Magna Carta to credible commitment	Magna Carta (Cl. 39), Locke (excerpt); North, “Institutions” (<i>JEP</i> 1991)
3	T	5. The Constitution as an Economic Document	The Constitution’s economic clauses (Art. I §8, §10; Amendments I, V); Hamilton, <i>Report on Public Credit</i> (excerpt)
3	Th	6. Why Nations Diverge — institutions, geography, beliefs	Acemoglu–Johnson–Robinson (summary); Diamond (excerpt)

Part II — Building the American Growth Machine

How did the U.S. build a continental market, an invention system, and organizations capable of scale?

Wk	Day	Class	Read before class
4	T	7. Land, Rails, and the National Market — the Homestead Act to broadband	Donaldson–Hornbeck (nontechnical summary)
4	Th	8. The American Invention Machine — patents, labs, universities	Bell et al., “Who Becomes an Inventor in America?” (summary)
5	T	9. Factories, Firms, and Scale	Atack, Margo & Rhode (<i>JEP</i> 2019)
5	Th	10. Productivity and Wages — did the machine pay workers?	Stansbury & Summers, “Productivity and Pay” (VoxEU version)

Part III — Mobilizing People and Expanding Opportunity

Who got access to the growth machine?

Wk	Day	Class	Read before class
6	T	11. Free and Coerced Labor	Wright, “Slavery and the Rise of the Nineteenth-Century American Economy” (<i>JEP</i> 2022); 13th Amendment
6	Th	12. Labor Markets and Worker Power — exit, voice, bargaining	Farber et al., “Unions and Inequality” (summary)
7	T	13. Education and Human Capital	Goldin & Katz (excerpt); BLS “Education Pays”
7	Th	14. Immigration and Assimilation	Abramitzky & Boustan, <i>Streets of Gold</i> (excerpt)
8	T	Debate 1: Should the federal minimum wage be \$15?	Card–Krueger (summary); prepare assigned side
8	Th	Midterm essay exam (Classes 1–14)	—
9	T	15. Women, Work, and Family	Goldin, “The Quiet Revolution” (excerpt)
9	Th	16. Race, Migration, and Opportunity	Derenoncourt, “Can You Move to Opportunity?” (summary)
10	T	17. Cities, Housing, and Path Dependence	Hsieh & Moretti (summary); Gardner Institute housing brief
10	Th	18. The American Dream and Mobility	Chetty et al., “The Fading American Dream” (<i>Science</i>); explore the

Wk	Day	Class	Read before class
			Opportunity Atlas for Salt Lake County

Part IV — Governing Capitalism’s Consequences

How does America govern capitalism’s side effects? Five tools — rules (antitrust), provision (public goods), insurance and transfers (fiscal policy), stabilization (money), and pricing harms (externalities) — bookended by two open questions: globalization and technology.

Wk	Day	Class	Read before class
11	T	19. Trade, Tariffs, and Globalization	Autor–Dorn–Hanson, “The China Syndrome” (summary)
11	Th	20. Market Power and Antitrust	FTC, “The Antitrust Laws”; Sherman Act §§1–2
12	T	21. The Useful State — public goods and state capacity	CDC, “Ten Great Public Health Achievements”
12	Th	22. Fiscal Capacity — taxes, insurance, debt	CBO, <i>Long-Term Budget Outlook</i> (summary)
13	T	23. Money, Banking, and Crises	Bernanke, “Money, Gold, and the Great Depression” (speech)
13	Th	24. Health, Environment, and Externalities	EPA, <i>Our Nation’s Air</i> (highlights)
14	T	Debate 2: Should the U.S. break up Big Tech?	Prepare assigned side
14	Th	25. AI and the Institutions of Progress — can the machine keep working?	Stanford HAI <i>AI Index</i> (highlights); Goolsbee & Syverson (intro)
15	T	Synthesis and review — the four	Revisit the Class 1 dashboard

Wk	Day	Class	Read before class
		acts as one argument	
15	Th	Reading day / exam preparation	—

Final essay exam: finals week, per University schedule.

Where this course leads

If this course was interesting, it was a free trial of the economics toolkit. Natural next steps: **ECON 2010 (Principles of Microeconomics)** and **ECON 2020 (Macroeconomics)**; the **Quantitative Analysis of Markets and Organizations (QAMO)** major at Eccles; and the economics major and minor. Class 25 closes with a session on what economists actually do and where economics graduates go — and the instructor holds recruiting office hours during the final two weeks for students considering the major.

Policies

- **Attendance and participation.** Lectures are built around live polls, exit cards, and discussion; attendance matters and participation is graded.
- **AI use.** Permitted as a learning and writing aid on quizzes, memos, and preparation, with a one-line disclosure. Exams are in-class.
- **Late work.** Quizzes cannot be made up (two lowest dropped); memos lose one-third of a letter grade per day late.
- **University policies.** Mandatory syllabus policies regarding the ADA, Safety at the U, Addressing Sexual Misconduct, and Academic Misconduct:
<https://cte.utah.edu/instructor-education/syllabus/institutional-policies.php>

This is a proposed redesign syllabus prepared for faculty discussion. A one-page overview memo, a set of one-page class sheets for all 25 classes, full 75-minute teaching notes for Classes 2–25, and a compiled 68-chart slide deck accompany this document.